



2021 Email Strategy

NOVEMBER 2020

Strictly confidential – For internal use only

Agenda

- 01 Category Landscape
- 02 What We Heard
- 03 CRM Recommendations
- 04 Estimated Investment



Category Landscape



An Isobar
Company

+





Custom cake industry is growing

DEMAND IS RISING

- + Demand is increasing significantly across the globe as they are instant, accessible, and delicious
- + Dessert cakes are expected to be the fastest-growing segment due to the increasing demand for desserts in ceremonies and dinners
- + Consumers have increased purchasing occasion specific cakes, expanding the market YoY
- + Younger customers haven't yet engaged significantly, once they establish households of their own this is expected to change
- + Convenience and indulgence continue to drive consumption

GROWTH IS PROJECTED

- + Impact of COVID was felt on the retail sector, but is expected to recover as the retail bakery market is expected to grow by more than 7%
- + Consumer lifestyle changes, a rise in disposable income, and availability of bakery products, and arise in urbanization is growing the market
- + Market share for innovative and healthy products has been rising
- + Specialty retailers are the largest product segment and is projected to grow over the next few years

2021 TRENDS

- + Consumers are willing to pay a premium for personalized products
- + These same consumers are willing to share data in return for more personalized customer service and products
- + Consumers are seeking fresh products over processed foods, specifically whole-grain, multi-grain and trans-free fat
- + 49% of Millennials say that cakes or pastries with multiple colors and visually interesting are premium
- + 74% of NA consumer want to try new and exciting chocolate cake experiences
- + Interest in seasonal fruit flavors will continue

Sources:

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<https://www.marketdataforecast.com/market-reports/cakes-market>
https://artisanbakeryexpo.com/wp-content/uploads/2019/07/ABE_RetailBakingIndustry.pdf
<https://www.radiantinsights.com/research/global-bakery-product-market-to-2021>
<https://www.barry-callebaut.com/en-US/manufacturers/trends-insights/top-6-trends-watch-bakery>
[Mintel](#) Instore Bakeries February 2020 Report

What We Heard



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YOU'VE SET AN AUDACIOUS GOAL:

+7% Same Store Sales YoY

By our estimation, that's about +\$24.6MM in incremental revenue among same stores.

We know digital won't be the only driver in meeting that goal, but we believe the right digital plan executed with DEG as your trusted partner, we can meet and *exceed* that goal.



MATH

- 4.8MM Records/Email Sent x 1 Email/Week Cadence
- Assume 50% are grossly unengaged = 2.8MM records
- Assume \$39 average ticket value
- What if we can get just 10% of your assumed engaged audience to buy just *one more time* next year?
- +\$6.1MM Incremental

MATH

- The average online order abandonment rate is around 70%
 - Same Stores LY did about 1.4MM Online Tickets for a total of \$55.6MM
 - That means for every three online tickets, seven others abandoned
 - That's an estimated total of 3.2MM orders (or \$127MM) abandoned!
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- A strong performing identity configuration can recognize up to 50% of all users – including anonymous users – or 1.6MM of the abandoned orders
 - A strong performing abandonment journey can recapture 7% of all abandoned, contactable/reachable orders – or 112K incremental orders
 - At a \$39 online AOV, we can recapture up to \$4.3MM in otherwise abandoned revenue – that's almost 17.5% of the +7 SSS goal (\$24.6MM)

MATH

The average store did 54K tickets in 2019 (online + store)

The AOV was about \$22 in 2019 (online + store)

To increase SSS YoY by 7%, we'll need to drive 3,780 tickets/store @ \$22 AOV

There were about 285 Same Stores last year

We have 4.8MM records in our database, assume half are grossly unengaged
= 2.4MM engaged records across about 285 stores means about 8,420
contactable and engaged records per store

That means we need 44% of each store's records to buy *just one more time*.

TT1 [[@Lauren Frazell](#)]
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